

ICAP Strategic Case Study - Summer 2026

Predicted Paper 3: Suggested Answers

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Question 1(a) - Franchising / licensing model (18 marks)

The proposed franchising / licensing model should be evaluated as a strategic growth model, not merely as a method of avoiding capital expenditure. It can help KMCH expand into new cities and tourist locations faster, but it also transfers day-to-day customer contact, maintenance discipline and service execution to third parties. This is a major issue because KMCH competes on premium service quality, safety, reliability and brand trust.

Strategic benefits

- **Faster geographic expansion:** Franchisees in Islamabad, Faisalabad, Multan and the northern corridor can give KMCH access to locations where it does not yet have depots, staff, workshop relationships or local operating knowledge.
- **Lower capital intensity:** Franchisees would own vehicles and local depot assets, reducing KMCH's upfront investment in fleet, fit-out and working capital. This is important because KMCH is also considering other capital-intensive projects.
- **Local market knowledge:** Franchisees with transport, hospitality or logistics experience may understand local customer behaviour, routes, permissions, workshops and recruitment conditions better than KMCH's Karachi and Lahore teams.
- **Scalability:** If KMCH develops a strong franchise manual, platform access model, training programme and audit process, the same operating model can be replicated in additional cities without opening every depot itself.
- **Recurring income streams:** Joining fees, royalties, platform fees, training fees and compliance fees can create fee-based income. This may improve predictability of revenue and reduce direct exposure to fleet residual values.
- **Investor narrative:** A disciplined asset-light model may be attractive to future investors because it supports growth without proportionate expansion of the balance sheet.

Strategic and operational risks

- **Loss of operating control:** Franchisees may focus on short-term cash flows by delaying maintenance, using cheaper parts, employing inadequately trained drivers or under-reporting complaints.
- **Brand dilution:** Customers may not distinguish between a company-owned depot and a franchise-operated depot. A single poor incident involving vehicle condition, accident handling or customer service can damage KMCH's national reputation.
- **Inconsistent customer experience:** Cleanliness, punctual handover, licence checks, transparent billing, roadside support and complaint handling may vary across cities unless standards are mandatory and audited.
- **Regulatory and insurance exposure:** Route permissions, vehicle fitness, licence checks, accident reporting and insurance documentation must remain consistent. Weak compliance by franchisees may create liability for the brand owner.

- Data and reporting risk: Franchisees may resist sharing complete booking, pricing, telematics, maintenance and complaint data. This would weaken Board reporting and make royalty verification difficult.
- Territory exclusivity risk: Franchisees are requesting exclusive territories. This may help attract strong partners, but it can lock KMCH into an underperforming franchisee and restrict future company-owned entry.
- Support cost risk: The central support team, platform, training, audits and compliance monitoring may cost more than expected in early years, particularly before the franchise network achieves scale.
- Customer recovery risk: If a franchisee fails to meet service standards, KMCH may still need to compensate customers, arrange replacement vehicles or provide roadside support to protect the brand.

Controls and conditions before approval

- Franchisee selection should include financial strength, transport / hospitality experience, compliance record, reputation, management capability and willingness to share data.
- Franchise agreements should specify vehicle-age limits, maintenance standards, customer-service protocols, complaint SLAs, insurance requirements, route permissions, data-sharing obligations and audit rights.
- KMCH should retain approval rights over vehicle classes, brand presentation, pricing bands, key customer communications and use of the central booking platform.
- Territory exclusivity should be conditional, limited in duration and linked to minimum performance thresholds, customer ratings, audit results and compliance scores.
- The Board should approve step-in rights, penalties, cure periods and termination provisions for repeated service failures.
- A central franchise support and compliance function should be created before signing multiple franchisees. It should own manuals, training, dashboard reporting, complaints, audits and franchisee performance reviews.

Conclusion

Franchising is attractive because it allows faster, lower-capital expansion and may create recurring fee income. However, KMCH should not franchise merely to avoid capex. The model is suitable only if the company can preserve service quality, data transparency, regulatory compliance and brand control. The Board should approve a phased pilot with one or two carefully selected franchisees, retain at least one company-owned benchmark operation, avoid broad unconditional exclusivity, and expand only after franchise KPIs and audit results prove that the model can protect KMCH's premium positioning.

Question 1(b) - Outsourcing maintenance, repair and roadside assistance (10 marks)

Outsourcing maintenance, repair and roadside assistance should be assessed as a strategic operating model decision, not merely as a cost-saving exercise. KMCH is considering expansion beyond Karachi and Lahore, but building full in-house workshops in every new city would require capital, specialist mechanics, spare-parts inventory and management attention. An approved-vendor network could therefore help KMCH scale faster, improve geographic coverage and support franchisees or new depots.

The main strategic benefit is flexibility. Roadside-assistance partners, towing providers, tyre suppliers and approved workshops can provide local capacity where KMCH does not yet have sufficient scale. This can reduce vehicle downtime, improve customer response times and avoid the fixed costs of underutilised workshops in new locations. It may also allow KMCH to test new cities before committing to permanent depots or workshops.

However, KMCH's premium brand promise depends heavily on reliability, vehicle cleanliness, safety and timely assistance. A customer whose vehicle breaks down will blame KMCH, not the outsourced workshop. Poor repair quality, use of non-genuine parts, late roadside response or weak documentation could damage customer satisfaction, increase accident or insurance risk, and undermine the credibility of the franchise model.

KMCH should therefore avoid outsourcing "fleet reliability" as a whole. It may outsource overflow repairs, city-specific roadside assistance, towing, tyre replacement and routine support in remote locations, but it should retain central control over maintenance standards, major repair approvals, safety sign-off, vendor selection, complaint monitoring and final accountability for the customer experience.

The following benefits and risks should be considered:

Area	Benefits	Risks / control issues
Capacity and speed	Approved vendors can provide coverage in new cities without KMCH immediately investing in workshops and mechanics.	Vendor capacity may not be available during peak periods, creating vehicle downtime and customer delays.
Cost and flexibility	Variable vendor cost may be more flexible than fixed workshop overheads when demand in new cities is uncertain.	Costs can rise through emergency repairs, towing charges, inflated spare-parts prices or weak approval controls.
Geographic coverage	Local vendors can provide roadside response on remote routes and northern tourist corridors.	Slow response or poor-quality repair could affect safety and customer trust.
Technical expertise	Specialist vendors may have better equipment for certain vehicle categories, tyres or electronics.	Use of non-genuine spare parts, inadequate diagnostic work or poor documentation can increase future breakdown risk.
Service quality	Service-level agreements can impose response times and repair standards.	Customers will still blame KMCH if a vendor is late, rude or unable to resolve the issue.
Control and documentation	Vendor networks can be audited if checklists, authorisation limits and job cards are standardised.	Weak documentation can create disputes over damage, warranty, insurance claims and tax input documentation.

Overall, outsourcing is appropriate only as a controlled approved-vendor model. KMCH should use vendors to improve response coverage and avoid excessive fixed investment, but should retain central ownership of standards, audit rights, safety controls, customer complaints, and termination rights. A phased model should be used, starting with non-core and emergency activities before considering wider outsourcing.

Question 1(c) - Stakeholder analysis and management (10 marks)

The proposed franchise and outsourcing model affects stakeholders with different levels of power and interest. The Board should manage these groups using Mendelow's matrix so that powerful and highly interested stakeholders are managed closely, while lower-risk stakeholders are kept informed or monitored as appropriate.

Stakeholder	Mendelow category	Why this category applies	Suggested management approach
Ayesha Khan and the Board	High power / high interest - manage closely	They approve the model, set risk appetite and protect founder reputation, control and brand value.	Provide full financial, operational and risk analysis; approve pilot scope, reserved matters, audit reports and escalation triggers.
Customers and corporate clients	Moderate to high power / high interest - manage closely	They directly affect utilisation, repeat bookings, ratings and corporate contracts. Switching risk is high if service quality becomes inconsistent.	Use central booking, consistent vehicle standards, clear complaint routes, service recovery protocols and customer-rating monitoring.
Potential franchisees	High power / high interest - manage closely	They provide local investment and execution capacity, but may demand exclusivity and commercial protection.	Use clear franchise agreements, conditional exclusivity, performance thresholds, training support and transparent fee structures.
Existing depot managers and staff	Moderate power / high interest - keep informed and manage actively	They may fear job losses, reduced career opportunities or loss of influence if franchisees and vendors expand.	Communicate that franchising is primarily for new geography; offer retraining, redeployment and roles in audit, training and franchise support.
Insurance partners and regulators	High power / lower day-to-day interest - keep satisfied	They can affect claims, route permissions, operating compliance and licence acceptance.	Standardise compliance records, accident reporting, route approvals, vehicle fitness checks and insurance documentation.
Vendors / workshops / roadside providers	Moderate power / moderate interest - keep satisfied and monitor	They influence downtime, repair quality and roadside response, but should remain controlled through contracts and SLAs.	Use approved-vendor contracts, job authorisation limits, response-time standards, audits and vendor scorecards.
Potential investors / lenders	High power / moderate interest - keep satisfied	They may fund expansion only if the asset-light model has reliable governance and reporting.	Provide dashboard reporting, franchisee concentration limits, risk registers and periodic Board-approved performance reviews.

Overall, the highest priority stakeholders are the Board, customers, potential franchisees, staff and regulators / insurance partners. If these groups are not managed properly, the model may fail even if the financial appraisal is positive.

Question 2(a) - NPV of franchise model and company-owned expansion (16 marks)

Option A - Franchise model

Under the franchise model, KMCH would appoint six franchisees. Four franchisees join at the start of Year 1 and two additional franchisees join at the start of Year 2. KMCH would earn upfront joining fees, annual royalty income and platform / telematics support fees, but would also incur platform enhancement costs, training / legal launch costs, central franchise support costs, audit costs and working capital.

Working 1 - Royalty income

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue of first 4 franchisees	760.0	828.4	903.0	984.3	1,072.9
Revenue of 2 additional franchisees	-	380.0	414.2	451.5	492.1
Total franchisee revenue	760.0	1,208.4	1,317.2	1,435.8	1,565.0
Royalty at 6%	45.6	72.5	79.0	86.1	93.9

Working 2 - Platform / telematics support fee

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Platform fee - first 4 franchisees	16.8	18.0	19.2	20.6	22.0
Platform fee - 2 additional franchisees	-	8.4	9.0	9.6	10.3
Total platform fee	16.8	26.4	28.2	30.2	32.3

Working 3 - Franchise support and audit costs

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Central franchise support cost	42.0	45.4	49.0	52.9	57.1
Brand audit / training / compliance cost	20.0	31.8	33.7	35.7	37.9
Total recurring support and audit cost	62.0	77.2	82.7	88.6	95.0

Working 4 - Tax calculation for Option A

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Royalty income	45.6	72.5	79.0	86.1	93.9
Platform fee income	16.8	26.4	28.2	30.2	32.3
Joining fee taxable	72.0	36.0	-	-	-
Total taxable income before costs	134.4	134.9	107.2	116.3	126.2
Central support and audit costs	(62.0)	(77.2)	(82.7)	(88.6)	(95.0)
Initial training / legal / launch cost	(36.0)	-	-	-	-
Tax depreciation	(30.0)	(22.5)	(16.9)	(12.7)	(9.5)
Taxable profit	6.4	35.2	7.7	15.0	21.7
Tax at 29%	1.9	10.2	2.2	4.3	6.3
Tax paid in cash flow	Year 2	Year 3	Year 4	Year 5	Year 6

Working 5 - Working capital for Option A

Rs million	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Royalty + platform fee for following year	62.4	98.9	107.2	116.3	126.2	-
Required working capital	4.4	6.9	7.5	8.1	8.8	-
Incremental working capital / recovery	(4.4)	(2.6)	(0.6)	(0.6)	(0.7)	8.8

Working 6 - Option A NPV calculation

Rs million	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Platform enhancement cost	(120.0)	-	-	-	-	-	-
Initial training / legal / launch cost	(36.0)	-	-	-	-	-	-
Upfront joining fee cash receipt	72.0	36.0	-	-	-	-	-
Royalty income	-	45.6	72.5	79.0	86.1	93.9	-
Platform fee income	-	16.8	26.4	28.2	30.2	32.3	-
Central support and audit costs	-	(62.0)	(77.2)	(82.7)	(88.6)	(95.0)	-
Working capital movement	(4.4)	(2.6)	(0.6)	(0.6)	(0.7)	8.8	-
Tax paid	-	-	(1.9)	(10.2)	(2.2)	(4.3)	(6.3)
Net cash flow	(88.4)	33.8	19.3	13.7	24.8	35.7	(6.3)
Discount factor at 15%	1.000	0.870	0.756	0.658	0.572	0.497	0.432
Present value	(88.4)	29.4	14.6	9.0	14.2	17.7	(2.7)

NPV of Option A = Rs (6.2) million

The franchise model is therefore almost break-even on the base case. It is slightly negative, but the deficit is small relative to the scale of the expansion and could potentially be reversed through modest improvements in royalty rate, platform fee, franchisee revenue, cost control or number of franchisees.

Option B - Company-owned depot expansion

Under the company-owned model, KMCH would open three depots and one northern seasonal hub. This gives KMCH greater control over customer experience and service quality, but requires much higher capital expenditure, working capital and fixed operating cost.

Working 1 - Revenue and operating cost calculation

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Gross rental revenue	430.0	477.3	529.8	588.1	652.8
Variable operating cost at 43%	(184.9)	(205.2)	(227.8)	(252.9)	(280.7)
Fixed depot staff, rent and admin cost	(108.0)	(117.7)	(128.3)	(139.9)	(152.5)
Operating cash profit before working capital and tax	137.1	154.3	173.7	195.3	219.6

Working 2 - Tax depreciation and balancing charge

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Opening tax written-down value	650.0	487.5	365.6	274.2	205.7
Tax depreciation at 25%	(162.5)	(121.9)	(91.4)	(68.6)	(51.4)
Closing tax written-down value	487.5	365.6	274.2	205.7	154.2
Residual value at end of Year 5	-	-	-	-	335.0
Balancing charge in Year 5	-	-	-	-	180.8

Working 3 - Tax calculation for Option B

Rs million	Year 1	Year 2	Year 3	Year 4	Year 5
Gross rental revenue	430.0	477.3	529.8	588.1	652.8
Variable operating cost	(184.9)	(205.2)	(227.8)	(252.9)	(280.7)
Fixed cost	(108.0)	(117.7)	(128.3)	(139.9)	(152.5)
Depot setup / launch cost	(90.0)	-	-	-	-
Tax depreciation	(162.5)	(121.9)	(91.4)	(68.6)	(51.4)
Balancing charge	-	-	-	-	180.8
Taxable profit / (loss)	(115.4)	32.5	82.3	126.8	349.0
Tax at 29%	-	9.4	23.9	36.8	101.2
Tax paid in cash flow	-	Year 3	Year 4	Year 5	Year 6

Working 4 - Working capital for Option B

Rs million	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Gross rental revenue for following year	430.0	477.3	529.8	588.1	652.8	-
Required working capital	43.0	47.7	53.0	58.8	65.3	-
Incremental working capital / recovery	(43.0)	(4.7)	(5.3)	(5.8)	(6.5)	65.3

Working 5 - Option B NPV calculation

Rs million	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Vehicle acquisition and fit-out cost	(760.0)	-	-	-	-	-	-
Depot setup, signage, licences and launch marketing	(90.0)	-	-	-	-	-	-
Gross rental revenue	-	430.0	477.3	529.8	588.1	652.8	-
Variable operating cost	-	(184.9)	(205.2)	(227.8)	(252.9)	(280.7)	-
Fixed depot staff, rent and admin cost	-	(108.0)	(117.7)	(128.3)	(139.9)	(152.5)	-
Working capital movement	(43.0)	(4.7)	(5.3)	(5.8)	(6.5)	65.3	-

Residual value of vehicles	-	-	-	-	-	335.0	-
Tax paid	-	-	-	(9.4)	(23.9)	(36.8)	(101.2)
Net cash flow	(893.0)	132.4	149.1	158.4	165.0	583.1	(101.2)
Discount factor at 15%	1.000	0.870	0.756	0.658	0.572	0.497	0.432
Present value	(893.0)	115.1	112.7	104.2	94.3	289.9	(43.8)

NPV of Option B = Rs (220.5) million

The company-owned depot model produces a significantly negative NPV on the base-case assumptions. The main reason is the large initial capital outlay of Rs 850 million plus working capital of Rs 43 million at the start of the project. Although operating cash flows improve over time and the Year 5 residual value is significant, these benefits are not enough to recover the upfront investment at the required 15% return.

Interpretation and recommendation

Both options are negative on the base-case assumptions, but the franchise model is substantially better financially. The franchise model is close to break even, whereas the company-owned depot model has a large negative NPV of approximately Rs 220.5 million.

The financial reason is clear. The franchise model converts expansion from a vehicle-heavy model into a royalty, joining-fee and platform-fee model. KMCH avoids most of the vehicle acquisition cost, depot setup cost, residual value risk and working capital burden. This is important because KMCH is already considering several other capital-intensive priorities, including IT modernisation, fleet renewal, EV adoption and depot restructuring.

The company-owned model gives KMCH greater control over vehicle standards, staffing, pricing, customer handover, maintenance and complaint handling. This may be important in flagship premium markets where the KMCH brand depends on direct control of the customer experience. However, the financial appraisal shows that full company-owned expansion into new cities is difficult to justify unless revenues, utilisation, margins or residual values are materially better than forecast.

The franchise model should also not be approved automatically. Its cash flows depend on the ability of franchisees to generate revenue, comply with KMCH's standards, use the central platform, report data honestly, maintain vehicles properly and protect the customer experience. A weak franchisee could reduce royalty income and damage the brand even though KMCH has not invested heavily in vehicles.

Therefore, the Board should prefer the franchise model over full company-owned expansion for selected non-core cities and tourist corridors, but only as a controlled and phased strategy. KMCH should pilot the franchise model with a small number of carefully selected franchisees, avoid unconditional territory exclusivity, include audit and step-in rights, and retain company-owned benchmark depots in core markets to protect service standards and compare franchisee performance.

Question 2(b) - Foreign exchange risk and hedging techniques (12 marks)

KMCH has transaction exposure because several expansion costs are linked to USD or EUR. Even where purchases are made through local distributors, prices may be indirectly dollar-linked. The exposure should be quantified before selecting hedging tools.

Exposure calculation

Exposure	Currency amount	Rate used	PKR equivalent / comment
Imported SUVs and premium sedans	USD 2.600m	Rs 283 / USD	Rs 735.8m total exposure. 50% is payable in three months and 50% in six months.
Spare parts, tyres and battery modules	USD 0.750m	Rs 283 / USD	Rs 212.3m annual / planned purchase exposure, acquired quarterly.
Telematics devices and sensors	USD 0.420m	Rs 283 / USD	Rs 118.9m payable in four months.
Cloud platform and mapping subscription	USD 0.336m per annum	Rs 283 / USD	Rs 95.1m annual recurring exposure based on USD 28,000 per month.
Total identified USD exposure, excluding EUR consultant	USD 4.106m	Rs 283 / USD	Rs 1,162.0m.
Foreign training consultant	EUR 0.180m	EUR rate not fixed	Separate EUR exposure; should be hedged only when the contract and timing are confirmed.

Forward hedge outcome - committed USD exposures

Exposure	Scenario future spot	Unhedged PKR cost	Forward PKR cost	Gain / (cost) of forward vs unhedged
Imported vehicles - six-month 50% payment, USD 1.30m	Rs 283 / USD	Rs 367.9m	Rs 383.5m at Rs 295	Rs (15.6)m
Imported vehicles - six-month 50% payment, USD 1.30m	Rs 295 / USD	Rs 383.5m	Rs 383.5m at Rs 295	Nil
Imported vehicles - six-month 50% payment, USD 1.30m	Rs 310 / USD	Rs 403.0m	Rs 383.5m at Rs 295	Rs 19.5m benefit
Telematics devices, USD 0.42m	Rs 283 / USD	Rs 118.9m	Rs 122.2m at Rs 291	Rs (3.4)m
Telematics devices, USD 0.42m	Rs 295 / USD	Rs 123.9m	Rs 122.2m at Rs 291	Rs 1.7m benefit
Telematics devices, USD 0.42m	Rs 310 / USD	Rs 130.2m	Rs 122.2m at Rs 291	Rs 8.0m benefit

Note: Rs 295/USD and Rs 310/USD are assumed rates for showing possible impacts.

The forward contract fixes the rupee cost. It is beneficial if the spot rate at payment date is above the forward rate, but costly if the rupee does not weaken. For example, the six-month vehicle forward costs Rs 15.6m more than remaining unhedged if the spot rate stays at Rs 283, but saves Rs 19.5m if the spot rate moves to Rs 310. This is acceptable for committed purchases because the purpose is certainty, not speculation.

Hedging techniques and recommendation

Exposure	Risk to KMCH	Possible hedge / response
Imported SUVs and premium sedans - USD 2.6m	PKR depreciation before payment increases vehicle cost and may make company-owned expansion less attractive. A 10% USD movement on USD 2.6m is approximately Rs 73.6m at Rs 283/USD.	Use forward contracts for confirmed purchase orders, especially the six-month 50% payment where a forward quote is available. For the three-month payment, negotiate fixed PKR price or obtain a short-dated forward quote before signing.
Spare parts, tyres and battery modules - USD 0.75m	Repeated quarterly exposure can erode margins and force emergency purchases at unfavourable rates.	Use rolling partial forwards for predictable quarterly purchases, maintain minimum inventory levels, negotiate supplier price caps and include currency clauses in pricing.
Telematics devices and sensors - USD 0.42m	Platform rollout and franchise reporting costs may rise if PKR weakens before payment.	Use the four-month forward if the purchase is committed; otherwise seek staged delivery or local-currency billing.
Cloud and mapping subscription - USD 28,000 per month	Recurring dollar cost creates continuing margin pressure and cannot be solved by a single hedge.	Negotiate annual price caps, local-currency billing, usage limits, or partially dollar-linked platform fees from franchisees as a natural hedge.
Foreign training consultant - EUR 0.18m	Adds a separate EUR exposure and may be unnecessary if local training is available.	Confirm scope first. Hedge only committed instalments, or replace part of the foreign consultant input with local training.

Forward contracts are suitable for firm commitments because they provide certainty. Currency options may be useful for uncertain exposures because they protect against PKR depreciation while preserving upside, but the option premium must be justified. Money-market hedges require foreign currency borrowing / depositing rates and may be impractical for KMCH. Natural hedging and supplier negotiation are useful for recurring exposures. KMCH should hedge confirmed high-value commitments, partially hedge recurring forecast purchases, and avoid speculative over-hedging.

Question 2(c) - Impact of foreign currency volatility on expansion strategy, pricing, margins and contracts (8 marks)

Foreign currency volatility is not only a treasury matter for KMCH; it affects expansion strategy, pricing, margins, procurement, supplier negotiations and the choice between company-owned and asset-light growth. KMCH's exposure arises because imported vehicles, batteries, spare parts, tyres, telematics devices and software subscriptions may be priced directly or indirectly in USD. A depreciation of the rupee can therefore change the economics of an expansion decision after the Board has already approved it.

Expansion strategy: company-owned expansion becomes riskier when imported vehicle and equipment costs can move materially before orders are placed or paid for. If the rupee weakens, the capital cost of new depots rises and the NPV of company-owned expansion may fall. This may make franchising or outsourcing more attractive because part of the fleet and local operating cost risk is transferred to franchisees or vendors. However, KMCH cannot transfer all risk because franchisee failure or poor service still affects the KMCH brand.

Pricing: KMCH should avoid long-term fixed-price contracts with corporate customers unless the contract includes periodic repricing, fuel / inflation adjustment, or exchange-rate escalation clauses. If KMCH is unable to pass on higher vehicle and spare-parts costs, margins will compress. On the other hand, aggressive price increases may weaken demand and push price-sensitive customers to local operators. The pricing policy should therefore distinguish premium corporate and airport-transfer customers from more price-sensitive segments.

Margins and service quality: FX-driven increases in spare parts, tyres, batteries and specialist maintenance costs can reduce gross margin and may also lead to delayed repairs if the company tries to conserve cash. That would reduce vehicle availability and customer satisfaction. The Board should require expansion appraisals to include FX sensitivity on both capital expenditure and recurring maintenance costs, not only on the initial vehicle purchase.

Supplier contracts: KMCH should negotiate price validity periods, fixed rupee quotations where possible, currency collars, staged payments, warranty support, committed spare-parts availability and supplier credit terms. Contracts should specify who bears exchange-rate movements between order date, shipment date and payment date. For technology subscriptions, KMCH should negotiate annual caps or local-currency billing where possible.

Franchise and vendor economics: franchisees may resist royalty and platform fees if their own vehicle and spare-parts costs increase due to currency depreciation. Similarly, approved vendors may revise repair rates frequently if imported parts become expensive. KMCH should therefore link franchise and vendor agreements to transparent pricing formulas, but should also protect customers from uncontrolled price volatility.

Recommendation: the Board should require an FX policy covering hedge ratios, approval limits, hedge instruments, unhedged exposure limits, and reporting of committed and forecast foreign-currency payments. Confirmed vehicle and telematics commitments should be hedged where commercially sensible, while uncertain recurring exposures may be managed through rolling partial hedges, supplier negotiation, local sourcing and pricing clauses.

Question 3(a) - AI, big data, telematics and dynamic pricing (16 marks)

AI, big data, telematics and dynamic pricing should be evaluated as commercial and operational transformation tools, not as a technology project for its own sake. For a vehicle-rental business, data can directly improve utilisation, revenue per vehicle, maintenance planning, customer retention, risk control and Board decision-making. The value will come from specific use cases that solve KMCH's current problems: underutilised vehicles, ageing telematics, inconsistent depot reporting, customer complaints, manual workarounds and pressure on margins.

Revenue growth and dynamic pricing: KMCH can use booking history, vehicle class, city, day of week, seasonality, airport arrivals, holidays, corporate events, lead time and competitor prices to adjust rates. Prices can be increased for peak airport transfers, premium SUVs and high-demand periods, while targeted discounts can be offered for idle vehicles or off-peak days. This should improve revenue per vehicle without relying on blanket discounting that would dilute KMCH's premium brand.

Fleet utilisation and deployment: AI can identify idle vehicles by depot, vehicle type and customer segment. It can recommend inter-depot transfers, fleet mix changes, or redeployment from slow depots to high-demand locations. This is particularly relevant because KMCH is considering franchises, virtual models and new-city expansion. Better utilisation improves ROCE because the same fleet generates more revenue without equivalent additional capital employed.

Predictive maintenance and availability: telematics data such as mileage, engine alerts, harsh braking, tyre wear, battery health, accident history and prior repair records can be used to predict breakdowns before they occur. This can reduce roadside failures, improve vehicle availability, lower repeat repairs and protect customer satisfaction. For premium customers, avoiding a breakdown may be more valuable than a small price discount.

Customer segmentation and retention: big data can help KMCH distinguish corporate clients, airport travellers, families, tourists, premium self-drive customers, budget-sensitive users and motorcycle-tour customers. Each segment may require different pricing, vehicle recommendations, booking reminders, loyalty offers and service recovery. This can improve repeat bookings and reduce customer acquisition cost.

Risk scoring and fraud prevention: AI can flag licence anomalies, unusual booking behaviour, late-return patterns, repeated damage claims, unauthorised driver risk, high-risk routes and suspicious payment behaviour. This would help KMCH set security deposits, insurance requirements and manual review thresholds. However, automated rejection of customers should be subject to human review to avoid unfair or discriminatory outcomes.

Franchisee and vendor monitoring: if KMCH expands through franchisees and approved vendors, dashboards can compare handover delays, complaints per 1,000 rentals, vehicle downtime, repair turnaround, repeat faults, roadside-response time, inspection failures and customer ratings. This allows KMCH to intervene early before weak franchisees or vendors damage the brand.

Board reporting and decision support: the Board dashboard should include utilisation by vehicle class and depot, revenue per vehicle, gross margin by segment, maintenance cost per kilometre, downtime, complaint trends, franchise compliance scores, vendor SLA breaches, cyber incidents, and ESG indicators such as fuel saved or EV utilisation. This would shift reporting from historic financial statements to early-warning indicators.

Implementation risks are significant. AI will only be reliable if booking, payment, telematics, maintenance, vendor, franchisee and complaints data are integrated and consistently captured. Poor data quality could lead to wrong pricing, incorrect maintenance predictions and unfair risk scores. KMCH also holds sensitive CNIC, passport, licence, payment and location data, so privacy notices, consent, access controls, encryption, audit trails and cybersecurity monitoring are essential.

The Board should also control model governance. Material decisions such as fraud flags, customer rejection, major price changes, vendor blacklisting or franchise penalties should not be left entirely to algorithms. There should be human review, exception reporting, model testing, change logs and periodic assessment of whether AI decisions are commercially and ethically appropriate.

Conclusion: KMCH should start with high-value use cases rather than a vague “AI programme”. Priority should be given to dynamic pricing, utilisation optimisation, predictive maintenance, customer segmentation, fraud / damage risk scoring, franchisee and vendor monitoring, and Board dashboards. Wider automation should follow only after data quality, cyber controls, staff training and governance arrangements are strengthened.

(Actual answer ends here. Remaining table is just included for student's convenience)

Use case	Industry-specific application for KMCH	Business benefit	Key requirements / risks
Dynamic pricing	Use booking history, city, season, day of week, holiday periods, airport arrival patterns, booking lead time, vehicle class, utilisation and competitor prices to adjust rental rates.	Improves revenue per vehicle, reduces idle fleet time and supports premium pricing during peak demand.	Requires approval limits, competitor feeds and customer transparency. Excessive price volatility can damage trust.
Utilisation optimisation	AI can identify underused vehicles, recommend inter-depot transfers, match vehicle class to expected demand and highlight vehicles sitting idle due to location or pricing.	Improves fleet productivity and reduces unnecessary purchases. Helps Board understand whether poor returns are caused by demand, pricing or vehicle mix.	Requires timely booking and telematics data. Wrong transfers could reduce availability in high-demand locations.
Predictive maintenance	Use mileage, engine alerts, harsh braking, battery health, tyre wear, service history and breakdown data to predict failures before vehicles become unavailable.	Reduces downtime, roadside failures, customer complaints and emergency repair costs. Supports premium service promise.	Requires reliable sensors, vendor / franchisee maintenance records and clear responsibility for acting on alerts.
Customer segmentation and growth	Identify corporate travellers, airport customers, families, tourists, premium self-drive users and repeat customers. Tailor packages, loyalty offers	Improves retention, customer acquisition efficiency and targeted marketing. Supports cross-selling of chauffeur, airport transfer and tour	Requires consent, privacy controls and avoidance of discriminatory or intrusive targeting.

	and communications.	products.	
Fraud, damage and risk scoring	Flag unusual bookings, repeated damage claims, licence anomalies, high-risk routes, late returns and risky driving patterns.	May reduce accidents, insurance claims, vehicle misuse and bad debts.	Requires human review. Customers should not be unfairly rejected by a black-box model.
Franchisee monitoring	Compare customer ratings, late handovers, downtime, complaints, cancelled bookings, maintenance exceptions and vehicle inspection failures across franchisees.	Allows head office to detect weak franchisees early and protect brand standards.	Franchise agreements must require data sharing, common definitions and audit rights.
Vendor performance management	Track repair turnaround time, repeat repairs, roadside response, spare-parts quality, invoice disputes and customer feedback by workshop or towing provider.	Improves outsourcing control and helps remove poor vendors.	Needs digital job cards, photographic evidence and approval workflows.
Board dashboard and early-warning reporting	Dashboards can show utilisation, revenue per vehicle, downtime, gross margin by class, complaints per 1,000 rentals, safety incidents, vendor SLA breaches and franchise compliance scores.	Improves Board oversight and moves reporting from delayed spreadsheets to exception-based decision-making.	Data definitions must be standardised; dashboards should show trends and exceptions, not just raw figures.

Question 3(b) - Tax implications of royalties, technology fees, service charges, group taxation and loss submission (10 marks)

The tax analysis should focus on the legal nature of each income stream and the relationship between KMCH and the proposed KMCH Mobility Services (Pvt.) Ltd. The Board should not assume that the use of a separate company automatically creates tax relief or allows free movement of profits and losses.

Group taxation and group relief under the Income Tax Ordinance, 2001

- Section 59AA deals with group taxation. Holding companies and 100% owned subsidiary companies may opt to be taxed as one fiscal unit, subject to conditions such as local incorporation, irrevocable option, consolidated accounts and applicable SECP / regulatory requirements. Losses prior to the formation of the group are not available for group taxation relief.
- Section 59B deals with group relief / loss surrender. A holding or subsidiary company may surrender assessed business loss to another qualifying group company, but capital losses and brought-forward losses are not generally the focus of this relief. The required ownership threshold is typically 55% where one of the group companies is listed and 75% where none is listed, subject to detailed conditions.
- Therefore, if KMCH Mobility Services makes early losses from platform development, training and launch activities, KMCH should not assume those losses can automatically be set off against KMCH's profits. Eligibility depends on ownership, timing, same-business continuity, Board approvals, SECP requirements and whether the losses are current business losses eligible for surrender.

Royalty, franchise fee and technology / service charges - income tax

- Royalty income, franchise fees, platform fees, technology support fees, training fees and management service fees received by KMCH or KMCH Mobility Services would generally be taxable income in the hands of the recipient if earned in the course of business.
- The payer should normally be able to claim a deduction only if the payment is wholly and exclusively incurred for business, properly documented, not capital in nature where revenue deduction is claimed, and not excessive or artificial.
- If any royalty, technical service fee, software fee or training fee is paid to a non-resident supplier, section 6 and section 152 may become relevant for taxation and withholding on Pakistan-source royalty or fee for technical services.
- Payments to local franchisees or by franchisees to KMCH / KMCH Mobility Services may also attract withholding depending on whether the payment is classified as service, contract, royalty, rent, commission or another category.

Transfer pricing / fair market attribution for inter-company charges

- If KMCH and KMCH Mobility Services are associated persons, section 108 allows the Commissioner to reallocate income, deductions or tax credits between associates to reflect an arm's length result.
- Accordingly, brand royalty, platform fee, staff recharge, training fee, IT support fee, management fee and shared cost allocation must be charged on a fair market / arm's length basis. KMCH should avoid shifting profits artificially into the entity with lower tax, losses or unused deductions.
- Written agreements should separately identify brand royalty, technology fee, training fee, franchise audit fee and management service fee. Bundled invoices may create disputes over deductibility, withholding and sales tax classification.

Sales tax on franchise, royalty and technology services

- Franchise services, brand licensing, technology support, training, IT services and management services may be taxable under provincial sales tax on services depending on the province, place of supply and exact service classification.
- Royalty or franchise fee may therefore have both income tax and sales tax consequences: taxable income for the recipient, possible deduction and withholding for the payer, and output sales tax where the service is taxable under provincial law.
- Input tax recovery on platform development, professional services, training and support costs will depend on whether the related output services are taxable, exempt or reduced-rated, and whether input adjustment is allowed under the relevant provincial regime.

Conclusion

Creating KMCH Mobility Services may be commercially sensible if it separates technology, brand licensing, franchise support and audit functions. However, the structure should not be formed merely for tax reasons. The Board should first confirm eligibility for section 59AA group taxation or section 59B group relief, design arm's-length inter-company charges under section 108, classify royalty / franchise / technology / service fees separately, and confirm income tax withholding and provincial sales tax treatment before franchise contracts are signed.